ISHARES BITCOIN TRUST ETF IBIT

July 08, 2026 - 5:05pm EST
by mezzybear

			2026	2027
Price:	35.23	EPS	0	0
Shares Out. (in M):	4,570	P/E	0	0
Market Cap (in $M):	161,000	P/FCF	0	0
Net Debt (in $M):	0	EBIT	0	0
TEV (in $M):	161,000	TEV/EBIT	0	0

Description

I wish I had something more exciting & intellectually stimulating to write up but I truly believe Bitcoin / IBIT is one of the best risk/reward situations in my portfolio at current levels (c $62k at time of writing for BTC or $35 for IBIT) and it's been over a year since the last BTC write-up (long or short) on this site and much has changed.

The price of Bitcoin has now for over 15 years followed a somewhat predictable four-year cycle with periods of exuberance/bubbles followed by long and brutal crypto winters. While overall the volatility both to the up- and downside have been declining over time, we are now once again close to the bottom in my view.

I do not expect a rapid rally imminently but I think now is actually the perfect time for people who still have not spent significant time on bitcoin to get up to speed and research the asset in time to be fully positioned for what I expect to be a bottom in Q4 of this year. I will post in the comments when I believe a rally is imminent (there's several technical indicators I track closely), though it goes without saying that I may well miss it. For long-term oriented that dont need to time it to the month, I consider now an excellent entry point.

Below I list the biggest selling points for bitcoin in my view, followed by a discussion around historical price cycles and why I think now is one of the better entry points.

What is Bitcoin Good For?

Bitcoin has no cash flows – so why own it?

The 'value' of Bitcoin is comparable to the value of Gold. Unforgeable scarcity, debasement resistance, ability to hold without any counterparty risk, durability. On top of that, gold has over centuries developed a powerful and monetary network effect (people across countries recognize it as wealth).

I would argue Bitcoin beats gold on scarcity (the inflation rate of gold is now higher than the inflation rate of bitcoin; and bitcoin has a hard supply cap of 21m), debasement & confiscation resistance, counterparty risk but is far away from comparable monetary network effects (though I believe it is catching up).

While they're arguably equally durable, bitcoin has lower storage costs. On top of that, bitcoin can easily be transported across space including physical and legal borders whereas gold always has some sort of 'jurisdictional/regional counterparty' risk which is probably one of the reasons why a disproportional amount of gold is stored in places like Switzerland and Singapore. Wealth can now cross a border as twelve memorized words, which has never been true of anything in the history of money.

A meaningful share of the world's population lives under double-digit inflation, capital controls or both. Studying geopolitics and history would suggest the share of people who are living with capital controls will increase meaningfully in the coming years which will drive demand for bitcoin (and gold though again that may be captured by capital controls).

The Bear Case

The Q&A on other bitcoin or bitcoin-related write-ups indicates to me that there's still a huge amount of confusion so below are some of the main arguments by the bears, and my push back:

- "Bitcoin is worthless because I can't do a DCF on it."
  - See above. The same has been true for gold for a few thousand years. If you could never see yourself owning gold then you probably shouldn't spend any time on bitcoin.
- "Governments will ban it"
  - This has historically been my main concern. Obviously banning it wouldn't mean it goes to 0 and de facto it would be hard to really enforce a 'ban' (whatever that means) but it clearly would have made holding/trading it much harder and had a massive impact on price.
  - The main government that matters here is the US where that risk has now for all intents and purposes disappeared for the current administration and has become extremely unlikely for future administrations as well
  - While 1933-style confiscation in the future can't be ruled out, I think the world at which the US government does that is a world at which bitcoin's market cap is many multiples of what it is today… so we'd have plenty of opportunities to sell along the way
  - Other governments are less important – China banned exchanges in 2017 and volumes went to Japan/Korea/Singapore. Then it banned mining in 2021 and the hash-rate recovered from foreign mining within a few months.
- "Proof of Work is an environmental disaster"
  - This came out of nowhere a few years ago. I don't think anyone really cares about this one anymore but just in case, it is in fact actually a way to incentivize the harvesting of stranded energy / intermittent energy sources (https://braiins.com/blog/from-flare-to-fortune-mining-bitcoin-off-grid-with-stranded-gas)
- "Quantum computing will break it"
  - This one's more recent and probably deserves the most serious discussion
  - For me, quantum is a question of when not if. However, it only reverses an *exposed* public key, and addresses are hashed — keys aren't revealed until you spend, so with no address reuse an exposed key guards nothing. The protocol can be made quantum proof but Satoshi's old coins will sooner or later become supply and put a meaningful dent in prices which probably becomes an attractive buying opportunity.
- "It's a bubble / tulips!!!"
  - It is not a bubble. It goes through bubbles. The same way real estate, gold, stocks and tulips go through bubbles. That doesn't mean they're

all worthless.
- What also separates bitcoin from things like tulips is that it now has gone through several up- and downcycles, where each was marked by higher highs and higher lows.

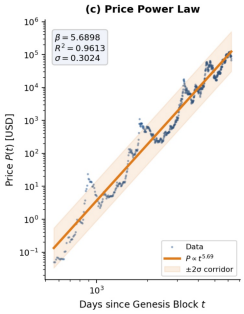
Increasing Monetary Network Effects

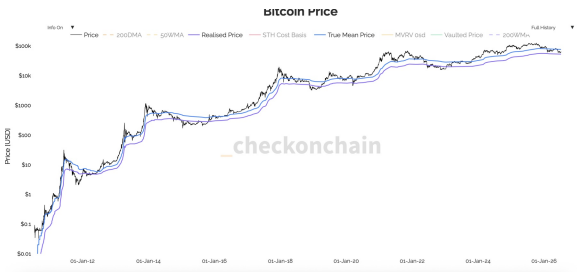
At the beginning of the write-up, I stated that bitcoin beats gold on most aspects but that gold benefits from millennia of adoption and built up network effects. I believe bitcoin is in the process of catching up, and likely has decades of catching up left. For bitcoin to just match gold's current market cap, the price would have to rise by about 22x. It will take a while to get there so at that point gold has probably risen even more.

Below are a few charts that show bitcoin's price over time. It seems to have historically grown as a power law based on the number of addresses, a proxy for adoption. This does seem to indicate that it is developing increasing network effects; the fact that each cycle also has higher lows and higher highs than the prior one can be interpreted as 'once people have found bitcoin, they generally stick around.' If this holds, I'd expect bitcoin to continue to rise for a long time especially as recent regulatory changes (e.g. ETF approvals) enable a large previously untapped part of wealth (e.g. IRAs) to adopt bitcoin and invest meaningful amounts.

I would also point out that based on this power law, bitcoin's current fair value is around $140k/BTC and that value grows at about 37% per year. So at current prices you're looking at a compelling >80% CAGR. The r2 of this regression which predicts 37% CAGR over the last 17 years is 96%. See https://scientificbitcoininstitute.org/research/publications

I think this itself is quite powerful and while I fully expect this model to break sooner or later, either to the up- or the downside, it is quite a powerful statement in my view.





Realised Price: Realised cap values each coin at the price it *last moved* on-chain. So if a coin last changed hands (was sent in a transaction) when bitcoin was $8,000, it's counted at $8,000 — regardless of what the price is now. Realised Price = Realised cap / circulating supply. It has historically acted as a floor and today is around $53k (15% downside)

True Mean Price: Similar to above but strips out ancient/lost coins e.g. Satoshi's coins.

Where Are We in the Cycle?

The last crypto boom was characterized by the proliferation of 'bitcoin treasury companies'. Either cash flow producing corporates or de novo holding companies buying bitcoin, often issuing equity or debt to do so. MicroStrategy / Strategy was the poster child, even tapping the cash-pay fixed income market to raise more capital, despite not having a meaningful cash flow producing business. Clearly those were all signs of excesses which many market observers pointed out already at the time. We are now at the other end of the cycle where MSTR and other companies are selling their bitcoin again – either because they have to raise liquidity to fund interest payments (in the case of MSTR) or because the board has lost interest. ETFs are also net sellers driven by outflows, which has been absorbed by people buying the actual bitcoin on chain (likely the 'smart money' in the asset class vs. the ETF / BTC treasury tourists)

While the future is inherently uncertain to predict, history would suggest that standing on the other side of the trade of forced sellers is generally a good place to be & entry point.

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Catalyst

Four-year cycle cycling
Seller exhaustion

Messages

Subject Custody issue
Entry 07/09/2026 12:09 PM
Member mrsox977

No view on the underlying itself. It may or may not be a good idea, I can see both sides and just say too hard. But maybe someone here with a better understanding can help me with a topic that I've been wondering about, the security of the underlying assets. In my view, products like this have a custody issue, different from a financial contract that is a directional bet on the reference price.

How is the coin stored and how secure the is storage? The underlying asset itself sits outside the DTC system, similar to GLD, dissimilar to stocks and bonds in street name. However, with GLD, I know how its stored and protected, by guys with guns outside an underground vault in NY/London. For this asset, there's constant creation/redemption and accessing the storage. The more APs there are that can create/redeem and transact, the more potential weak links, so how secure is that? I'm not sure, but maybe I don't understand what they're doing enough. That said, this product is potentially a $161b target, in my view. The larger it gets, the more attractive it becomes. Could this fund have an event where you learn some % of the coin was lost/stolen and there's not much recourse, aside from maybe suing BLK/COIN?

Subject Bear Case
Entry 07/09/2026 12:20 PM
Member Light62

You listed a number of bear case arguments but didn't address the triple bind of security, scarcity, and miner rewards (you can only have two but Bitcoin's promise of all three is core to its investment appeal).

I discussed this last year here: https://valueinvestorsclub.com/idea/Bitcoin/1911792644 and would be interested in any thoughts you have.

Subject 5000 year track record
Entry 07/10/2026 09:22 AM
Member surf1680

Bitcoin is one of millions of crypto coins that has *temporarily caught the attention of the masses. Think long term. It makes life so much easier. Your portfolio will thank you.

(*temporary = 14 years of bitcoin life / 5000 years of gold life)

Subject Re: 5000 year track record
Entry 07/10/2026 10:49 AM
Member Shoe

Bitcoin (and crypto) are more like a religions. People either believe or do not.

End of the day, I see no reason why this *has* to be "digital gold" and be valued as such. But whatever, I'm not going to debate that.

I'm wondering why it's sold off so hard lately though (and what makes it bounce back). I get part of it is what you said about bitcoin holding companies selling, but bitcoin & crypto sold off before that unwound.

Is it because speculative money is chasing AI and stocks and EM? Or is it because foreign sovereign money is selling their gold and crypto to buy oil? Or is it because of the Fed's newfound hawkishness and $ strength? Or just the momentum stalled and it needs to "act" better.

What's the catalyst to cause it to bounce back? You basically say more buyers than sellers, but who knows when that happens. It's a self reinforcing cycle. When bitcoin goes up, people buy it; when it goes down, people sell it. Obviously, the lack of obvious intrinsic value or price determination means this can trade at whatever price it feels like.

Actually, rightly or wrongly, bitcoin price has tracked with the cost to mine bitcoin over a long period of time. Of course, that doesn't have to always be the case; but overtime marginal price has matched marginal cost, as a commodity should. And because of the halving and increased bitcoin mining compute, the cost of bitcoin has kept rising exponentially. That's my best theory for the price of bitcoin over long periods of time

Subject Re: Re: 5000 year track record
Entry 07/10/2026 04:12 PM
Member Light62

>rightly or wrongly, bitcoin price has tracked with the cost to mine bitcoin over a long period of time. Of course, that doesn't have to always be the case; but overtime marginal price has matched marginal cost, as a commodity should. And because of the halving and increased bitcoin mining compute, the cost of bitcoin has kept rising exponentially.

I think the causality is mostly backwards. Bitcoin mining economics are structured so that, over time, the cost of mining tends to track the price of Bitcoin rather than price being determined by mining cost (as is the case in most other commodities). Unlike most commodities, miners cannot collectively produce more Bitcoin by allocating more resources to mining; the protocol fixes issuance per block and adjusts difficulty to target a roughly stable block cadence (i.e. bitcoin produced per unit of time should be stable regardless of how much compute is applied).

As a result, miners compete for a revenue pool determined by the the price of BTC (we can exclude transaction fees as too small to matter much) since it's the only variable component of revenue. When BTC price rises, mining revenue rises, attracting more compute until economics compress. When BTC price falls, less efficient compute exits until costs and revenues come back into balance.

So while Bitcoin’s price and mining cost may correlate over long periods, mining cost is ultimately an outcome of Bitcoin price rather than being the fundamental driver of Bitcoin’s price.